

Example:

Suppose you expect Nifty to decline moderately, and you set up the following strategy:

Particulars	Strike Price	Price
Nifty put bought	25,000	₹160
Nifty put sold	24,850	₹90
Nifty put sold	24,700	₹50

Here, the margin required is ₹2,30,000
Let us calculate the rewards, costs, and risks.

Net premium paid= ₹160 - ₹90 - ₹50 = ₹20
Break-even point (BEP)= 25,000 - ₹20 = 24,980
Maximum reward = (Spread - Net premium paid) = 150 - 20 = ₹130
Nifty below of which loss is unlimited = Lower strike price - Reward
= 24,700 - ₹130 = 24,570

Let’s see what happens in different scenarios:

Particulars	Nifty at 25,000 or above	Nifty at 24,850	Nifty at 24,700	Nifty below 24,570
Outcome of buying 25,000 put	Premium of ₹160 lost	Loss = ₹160 + 24,850 - 25,000 = ₹10	Gain = 25,000 - 24,700 - ₹160 = ₹140	Gain = 25,000 - Nifty - ₹160
Outcome of selling 24,850 put	Premium of ₹90 gained	Premium of ₹90 gained	Loss = 24,850 - 24,700 - ₹90 = ₹60	Unlimited loss
Outcome of selling 24,700 put	Premium of ₹50 gained	Premium of ₹50 gained	Premium of ₹50 gained	Unlimited loss
Net outcome	Loss of ₹20	Gain of ₹130	Gain of ₹130	Unlimited loss